

people aged sixty-seven and above is expected to double, increasing government expenditures by 12% of GDP.⁵² Perhaps Norway is right in putting the words “pension” in the name of its SWF, the “Norwegian Pension Fund—Global,” because it stresses the current generation’s responsibility to save for the future.

4. Foundations and Endowments

Like the SWFs of Timor-Leste and Norway, foundations and endowments generally set (flexible) spending rules based on some proportion of AUM. Private foundations are required to pay out at least 5% of AUM every year, a figure established by the Tax Reform Act of 1969. Although the law frames this as a minimum, in practice many foundations simply pay out 5% regardless of other considerations.⁵³

University endowments are not subject to the 5% minimum, but endowments spend at about that rate anyway and only slowly vary through time.⁵⁴ Why should Congress mandate a minimum payout for foundations but not endowments? The only plausible justification that I find in the literature is that *private* foundations are less accountable than *public* charities, which include universities.⁵⁵ Private foundations are often set up by a single donor, family, or corporation. Once the principal donor has died, foundations are accountable to few stakeholders, and this lack of oversight often leads to their doing little “charitable” work. Even when the donor is alive, some private foundations are set up to control wealth, exempt from tax, even while the wealth is being (gradually) disbursed. The reports of Rep. Wright Patman, a Texas Democrat in the early 1960s, detailed some of these abuses and influenced legislation passed in 1969.⁵⁶ These *governance* problems are less of a concern at colleges and universities, which must answer to students, faculty, staff, alumni, and donors, and also must comply with a host of federal guidelines associated with receiving federal money.

⁵² Reported by the OECD Economic Survey of Norway, 2010.

⁵³ See Deep and Frumkin (2006). Strictly speaking, foundations are free to spend below 5%, but then the foundation’s assets are subject to an excise tax of 30%.

⁵⁴ The average spending rate for endowments was 4.2% in 2012 according to NACUBO. The Uniform Prudent Management of Institutional Funds Act (UPMIFA) has been adopted in forty-seven states and requires that the spending take into consideration “the duration and preservation of the endowment fund” and “general economic conditions.” UPMIFA specifies that a spending rate of more than 7% is a “rebuttable presumption of imprudence.” See comments by Conti-Brown (2010) on why this does not constitute a fixed payout ceiling.

⁵⁵ Most of this is in the law literature. See Troyer (2000), Cowan (2008), Conti-Brown (2010), and Wolf (2011).

⁵⁶ See Troyer (2000).